several instances where price declines to and bounces off from the trendline, the top trendline does not show the same type of touches.

Looking at the right side of the chart, does this still look like an ascending triangle? I can hear you asking me to lower the horizontal trendline until it touches the two minor highs in early to mid-December (below number 1 and midway between numbers 2 and 3—at the top of the chart). That is not a bad guess, but it results in just four trendline touches and not five.

What you are really looking at is a head-and-shoulders bottom. The left shoulder has a large volume spike (under number 1). Located under number 2, the head shows a smaller volume spike. The right shoulder shows volume that recedes even further (number 3). A true ascending triangle has at least five trendline touches, three on one trendline and two on the other. This pattern only has one top trendline touch at the central minor high. At the start and end of the pattern, price touches the top trendline but not at a minor high, so the two touches doesn't count. It's not a valid ascending triangle.

Figure 64.3 shows another example of a falsely identified ascending triangle. This chart has too much whitespace in the central portion of the triangle. A well-defined ascending triangle has price that bounces from top to bottom plenty of times, filling the whitespace.

Study the figure. It illustrates one of the most common identification mistakes. Novices will find a rounding bottom (like that shown from January to March) and draw a horizontal line across the top and another tangent to the bottom price action, then yell, “Eureka! An ascending triangle!”